



FEAP

Furukawa Electric Autoparts Philippines Inc.

Employee's Handbook

2013
Fourth Edition

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VISION

To be the leading SRC manufacturing company in the world through Excellent Quality, Cost Competitiveness, On-time Delivery and Continuous Innovation.

MISSION

We are committed in upholding the needs of our stakeholders:

- | | |
|-------------------------|---|
| Customers | - bring delight and satisfaction |
| Employee | - nurture our human resources and enhance their quality of life |
| Society and Environment | - live up the expectations of society and responsibly utilize and replenish our environmental resources |
| Supplier | - maintain professional partnership, eliminating conflict of interest |

President's Message

Furukawa Electric Autoparts Philippines, Inc. recognizes the need to constantly develop and maintain an efficient and effective human resource strategy that can ably meet and harmonize to the rational needs of the Company's most important asset – its human resources.

This handbook is a testimony to this objective. It illustrates relevant information about the extent of the of the Company's involvement in developing its people, its corporate values, its fair personnel rules and policies and employee welfare services, its organizational structure and conditions of employment.

Hence, I advice you to read carefully, understand fully well, and faithfully follow the provisions stated in this handbook so that a working relationship that is balanced and harmonious will prevail between you and the Company.

I trust that after reading, you can commit to the concept of team work as I envision the Company and the workforce moving together towards the goal of abundant productivity, making FEAP a dynamic world-class organization.

FEAP President

Foreword

WELCOME to Furukawa Electric Autoparts Phil. (FEAP), Inc.

You are now a member of our team and by being so you have consequently committed yourself to work with us. We expect that during your stay with the Company you will show cooperation, enthusiasm and continuous dedication in your work.

In return, the Company assures you of its support, recognize and reward your efforts and will at all times value, trust and respect you as an individual.

At FEAP, we believe that unity and harmony are possible only if employees like you clearly understand what you expect from the Company and what the Company expects from you. We constantly envision FEAP's growth to be the result of the shared efforts of both the corporate and its employees.

We also know that as a new employee, you are experiencing a period of adjustment and that you have a need for a supportive environment.

To address your needs, we have especially prepared this handbook. Please read this carefully and understand fully well each and every provision stated herein. Should you need a clarification or have any question relative thereto, please consult either your Department Head or the Human Resources/General Administration Department (HR/GAD).

So whatever your position or function may be, you are now part of our team - - you now represent FEAP. Welcome aboard and wish you all the success in your career with us!

Human Resources / General Administration Department

History of Presidency



Mr. Atsushi Fujisaki
June 2011 - Present



Mr. Yoshiaki Watanabe
April 2008 - May 2011



Mr. Junichiro Tanaka
December 2005 - April 2008



Mr. Suguru Shinozaki
August 2004 - November 2005



Mr. Fujio Abe
April 2003 - August 2004



Mr. Naoji Ando
May 1999 - April 2003



Mr. Kunihiro Naito
January 1998 - April 1999

About the Company

FURUKAWA ELECTRIC AUTOPARTS PHILIPPINES (FEAP), INC. is a multinational manufacturing Company that was wholly owned by Furukawa Electric Co. (FEC), Ltd., of Tokyo, Japan. FEC is a well-known manufacturer of steering roll connector (SRC) for car air bag system that has acquired a significant 35% share of the international market.

The Philippines is situated in a strategic location making it conducive to trade. With the constant encouragements from Japan by Toyota Motor Corporation and Tokai Rika Co. Ltd., an internationally known car parts producer, FEC was prompted to establish a subsidiary plant in the Philippines.

In November 1997, Mssrs. Kunihiro Naito and Junichiro Tanaka, both FEC, started carrying out the coordination and documentation on all requisites of the Philippine government so that a subsidiary plant could officially conduct business operation in the country. It was organized with Mr. K. Naito appointed to the post of President and Mr. Hisashi Namikawa as the Factory General Manager.

The establishment of FEAP in the Philippines was finally concluded in January 1998 when it acquired its official registration as an enterprise of the Philippine Economic Zone Authority (PEZA). This development led to the immediate implementation of its initial mass production in May of the same year in a small factory facility at EPZA-Rosario, Cavite. There were only 48 employees who worked to produce the required introductory production volume of 50,000 pieces of SRC, the main product of the plant.

With hard work and coupled with a great deal of enthusiasm, the company yielded products surpassing the established quality requirements of the Mother Company, FEC. Inspired by the positive outcome, the Mother Company embarked on a bigger and wider plans of expanding FEAP's manufacturing capacity. FEC decided to include for the plant's future operation the manufacture of fuse blocks, waterproof connectors and terminals in addition to its main product. The finished products of FEAP are supplied to TRP (end user: Toyota Motor Phil. Corp.), Tokai Rika, Japan (end user: Toyota Motor Corp.) Rika Auto Parts Co., Ltd. (Taiwan), Honda Car Phil., Inc., Fuji Heavy Industries (Subaru), Mitsubishi Motors Corp. and Tokai Rika Thailand (end user: Isuzu Motor Car Thailand).

In August 1998, Mr Namikawa's term of office was cut short because he was deployed in another overseas affiliate for a new assignment. Engr. Kenji Ishitani took over his vacated post.

A year after, Mr. Naito had to vacate his post too as president of FEAP because there were more pressing demands for his expertise at the FEC telecommunications project office.

The events that occurred and the planned expansion in production brought the need for the FEAP Board of Directors to designate a president who would replace Mr. Naito. After much deliberation, they decided to give the post to Mr. Naoji Ando, making him the first officially designated president by Board of Directors of FEAP.

From then on, FEAP undertook significant moves that strengthened the core of the business. It focused on managing the costs, improving the quality of the products and formulating effective work systems to make the Company more cost-efficient, customer-centered and competitive in the world market.

Competitiveness requires a viable location for the business. For this reason FEAP decided to move the factory to Laguna Technopark, Biñan, Laguna in January 2000 with a vision and optimism that this new site will play an important role in the strategic mass production of quality automotive products and foster closer coordination and efficient service with its customers. Today, FEAP stands on 3.2-hectare property in 113 East Main Avenue, Laguna Technopark, Biñan, Laguna.

FEAP aggressively and continuously rendering its best efforts to uplift further its quality standards with the aim to better serve the needs of competitive business climate. As recompense to all the efforts exerted towards the achievement of this goal, it was awarded the certificate for QS 9000/ISO 9001 special quality seal last August 2000 by the Underwriters Laboratories, Inc. of New York, USA after successfully passing its rigid audit and assessment procedures. And by the company's strong adherence for continual improvement, emphasizing defect prevention and reduction of variation and waste in the supply chain, FEAP acquired an accreditation to ISO/TS 16949 by year 2003 and this time, from Underwriters Laboratories (UL), Inc. of Japan.

Another major transition had took effect at the start of the fiscal year of 2012, when ownership of FEAP was sold by FEC to Furukawa Automotive System (FAS), Japan, which made FAS now its mother company.

As of the end of February 2013, the manpower has grown to 1,119 employees. Its production volume has considerably increased from 50,000 pcs. of SRC per month when it first started its operation to the current maximum capacity of 800,000 pcs of SRC assembly, FFC (flexible flat cable) assembly and injection molding lines per month. Gearing towards localization of supplied materials as part of company's cost effective measures, FFC lamination process is being established and will soon run in FEAP for mass production by mid part of year 2013.

At present, FEAP is occupying a leading rank among the manufacturing industry of SRC in the world and continuously pursue developing new possibilities in modern technologies that would provide comfortable and safe lives, environmental care and a progressive future.

The Parent Company

FURUKAWA AUTOMOTIVE SYSTEM, INC.

Furukawa Automotive Systems Inc. engages in the design, development, manufacture and sales of wire harnesses, electronic products and other in-car functional products in Japan and internationally. The company offers wire harness for electric and hybrid vehicles, which include aluminum wire harnesses, sliding door wire harnesses and cable assembly for automobiles; connectors such as optical MOST, smart and steering roll connectors. It provides functional components for automobiles that include junction/relay boxes, metal core PCBs, electronic control units, and products utilizing flat cables.

The company was formerly known as Furukawa Automotive Parts Inc. and changed its name to Furukawa Automotive Systems, Inc. in October 2007. The company was founded in 1950 and is based in Inukami-gun Japan. It has offices and operations in Europe, North America and Asia.

Furukawa Automotive Systems Inc. operates as a subsidiary of Furukawa Electric Co., Ltd.

FAS now, is globally building up its business from a long-term perspective based upon its research and development, manufacturing and human resources development. It continuously concentrate the materials and technological innovation capabilities that it has built up so far to bring a sense of security and wonder to its customers, taking up the challenge of realizing products to create a new future.

FAS Group's Philosophical Structure

The FAS Group philosophy consists of the “Corporate Philosophy” defining how the company contributes to an abundant and sustainable society, “Management Philosophy” defining management beliefs and values, and “Credo,” “CSR Code of Conduct,” and “FAS WAY” guiding how each individual thinks and acts to achieve best results.

- The “Corporate Philosophy” indicates the company’s societal value and the role we play in that society.
- The “Management Philosophy” indicates the beliefs and values to be respected and acted on, and how management works to achieve the ideals in the “Corporate Philosophy.”
- The “Credo” indicates each individual takes action.
- “CSR Code of Conduct” establishes the standard of behavior that we maintain from the perspective of corporate social responsibility (CSR) in conducting business based on the Corporate Philosophy and Management Philosophy. Human rights, safety, environment, fair trade and other items in the “CSR Code of Conduct”. are given the highest priority in all we do.
- “FAS WAY” more specifically describes the standards of behavior and values each individual associate is expected to embrace.



FAS WAY

What is FAS WAY?

FAS has corporate culture where honesty and responsibility is highly valued and has maintained these values through its historical changes through total engagement.

FAS WAY is the valuable "DNA" of our organization projects our future image in terms of specific behavior and how each person does his or her job.

FAS WAY is the way we share our views and values and conduct business activity with a diverse range of peers from all over the world.

We always take action based on the FAS WAY, return to the FAS WAY when we are lost, and logically and reasonably evolve the FAS WAY to meet the unique challenges of our future world.

Fundamental Elements of FAS WAY

We always pursue the next level in "manufacturing" to keep our customer base fully satisfied. "Human resources development" is the way we achieve the next level of "manufacturing." FAS WAY is implemented by full participation with following five fundamental elements in "manufacturing" and "human resources development."

- Based on the customer first philosophy, see the situation through the eyes of customers, think from their perspective, and seek their delight first.
- Challenge ourselves to search for new products and new technologies by always keeping our eye on the future and raising the bar.
- We are not content with the status quo and create an environment where continuous Kaizen (improvement) is the minimum expectation.
- Always foster teamwork based on mutual trust and respect.
- Empower individuals, fortify their capabilities, and develop human resources that fully apply skills and abilities and take responsibility and pride in highly successful outcomes and results.

Customer First	Seek customer delight	• QCD (quality, cost and delivery) • Think and act from a customer's perspective
	Quality first	• Own-process completion • GST (global standards)
Challenge	Raise the bar	• Foresight • High-Level Goals • Broadened perspective and thorough benchmarking
	Never-ending pursuit	• No fear of failure • Technological innovation
Kaizen (improvement)	Continuous improvement	• Endless improvement • Start with 2S • Eliminate Muda (waste) • PDCA
	Go and see reality for yourself	• Thorough fact check • Go after the true root cause • Always complete the job
	NF Production System (New Furukawa Production System)	• Implement the NF Production System
Teamwork	Total optimization	• TK activities (Through departments Kaizen(improvement) activities) • Group power
	Fruitful communications	• Information sharing • Open discussions
	Prompt action	• Rough and ready rather than being slow and sure • Always meet deadlines
Human Resources Development	Fully realize people's potential	• Motivation • Appropriate evaluation • Develop professionalism • Self-development
	Leadership	• Prompt and accurate decision making • Confident
	Earnest action	• Honesty and responsibility • Sense of ownership

FEAP Work Values

Technological Excellence

We are aware that there is still so much more to explore so we continually seek enhancement of our skills and knowledge and improve further our technology in order to produce products competitive to world-class standards.

Team Work and Cooperation

We believe that the best results are obtained when we stay united and committed to work together for the Company. Thus, we strive to work in harmony never allowing our personal desires or ambitions to disrupt our smooth operation.

Partnership with Customers

Our customers are the recipients of our collective hard work and their complete satisfaction makes us truly fulfilled. So important are our customers to us that we value their continued support and patronage. Thus, we work hand-in-hand with our customers and regard them as our partners in business as we move forward to achieve our goals.

FEAP Work Slogan – 3S

Speed

We strive to deliver results expeditiously to our customers because we respect and value their time. Thus, we organize our courses of action in relation to our priorities and corporate goals so that we can produce results fast. But in so doing, we also take extra care not to concede to haphazard decisions and services that may bring about inferior quality output.

Simplicity

We focus our time, effort and energies to what is only important and vital to our goals. Thus, when we work we systematically plan and unite our efforts and activities and evade from needless and unnecessary actions.

Self-Confidence

We believe that our skills and competence must be coupled with courage and trust in our co-employees and ourselves because it is only through trusting and uniting that we can ably overcome whatever challenges and difficulties would come our way. We take pride in the fruits of our labor and the efforts we exert in performing our responsibilities.

YOU and YOUR JOB

Recruitment, Evaluation and Placement of Employees

We believe that our continued progress and success depends to a considerable extent on the quality of our employees. Hence, we consider our human resources as one of our most important assets.

You were chosen from among those who passed our selection procedure, which includes a series of interviews and psychological and technical tests. Your educational background, personal circumstances, employment history and extent of your work experience, skills, aptitude, personality and physical well being were all assessed to make certain that you are intellectually, emotionally and physically fit for the job.

The following is the general procedure that we carry out when recruiting, evaluating, and selecting our employees:

1. Requisitioning department accomplishes the APBS-10011 Form 1-2 (Manpower Requisition Form or MRF) furnished by the HR/GAD. The form states all the pertinent details and information of the vacant post.
2. HR/GA Manager reviews the MRF and when clarification is necessary, discusses these with the requisitioning unit. Once resolved, HR/GAD starts recruitment applying the appropriate recruitment strategy.
3. The applicant undergoes initial and in-depth interviews and psychological exams. Narrative description of the results of the interview and the interpretation of psychological exams are noted down in the APBS-10011 Form 2-1 (Applicant's Examination and Interview Results) and furnished to the interviewers and requisitioning unit for their information.

Applicants who pass this preliminary phase of the evaluation are short listed and endorsed for panel/final interview.

4. Further screening may be conducted depending on the requirements. Applicants are either interviewed further and/or given technical examination. Result of evaluation is then noted down on the standard form as well as the recommended course of action, whether to hire the applicant, reject or consider for future reference. The form is submitted to the HR/GA Manager for information and further action.
5. HR/GA Manager conducts the job offer to the considered applicant. During this stage, you will be informed of the Company's current labor conditions, your employment status, the tentative date of your employment and the compensation package of your position. Your concerns and acceptable compensation scheme will also be drawn out during this stage so that these would be acted upon prior to your actual placement.
6. When the applicant is in conformity with the job offer, he is oriented on the pre-employment requirements which include medical examination, photocopies of applicant's and dependents' birth certificate, SSS E-1 form, TIN, Pag-Ibig ID, SSS ID, PhilHealth ID, school credentials, marriage contract if needed, NBI and police clearance, barangay and residence clearance, latest ID pictures and Certificate of Employment/Payslip if previously employed.
7. When the pre-employment requirements are completed and found in order, the HR supervisor/Staff will then process the probationary employment contracts and the APBS 10014 Form 7 (personnel action notice of PAN) of the new employees. The HR Supervisor/Staff will likewise initiate routing these to the approving authorities.
8. The new employees undergo orientation on Company standards and procedures and sign their approved probationary employment contracts and PAN after concurring with the employment conditions stipulated therein. Copies of the employment contracts and PAN are then distributed to payroll, employee concerned and the employee's 201 file.
9. During the probationary period, HR/GAD conducts a background check of the new employee's personal circumstances.

Meeting the Company President

Prior to the actual job placement, you are given an opportunity to meet and be formally introduced to the President. This is so because we want a family-like working environment where even the highest officer of the corporate, the President, knows each and every employee working in the Company. Just a brief introduction will take place after which you will be endorsed to your department head.

Employment Status

Classification is made in any of the following employment status:

1. Probationary

Employment on a trial basis to occupy a regular position in the Company's approved table of organization.

Probationary employment lasts for a maximum period of six (6) months counting from your date of hire. During this period, your performance, personality traits and work attitude will be closely observed by your immediate superior to determine if you are indeed suited to your job.

Requirements during Probationary Employment (Qualification for Regularization):

1. No Absence – In cases of sick leave, only major illnesses shall be considered valid and should be supported by hospital record. However, if such illness is detrimental to the health of other employees, such probationary employee may not be qualified for regularization.
2. No Late
3. Disciplinary Action
4. At least 3.0 average performance rating and above

2. Regular/Permanent

After successfully passing the probationary period, your immediate superior recommends your permanency or regular employment. Such recommendation is supported with an objective assessment of your performance using the approved FEAP performance appraisal instrument.

Once your regular appointment is approved, you will be entitled to all the benefits and privileges accruing to regular employees. We would like to emphasize, however, that as per pursued Company practice, approval of your regular appointment does not necessarily merit a salary increase.

3. Temporary

Employment for fixed period of time in response to a seasonal or emergency requirement.

If your post is temporary in nature, your employment lasts within the period indicated in your service agreement, a condition made known to you at the time of your hiring. The Company, however reserves the right to end your employment even prior to the date of termination of your service agreement if you rendered a below average performance or when the condition under which your employment has been made no longer exists.

Restrictions In Hiring

In seeking employment with the Company, you will not be considered for hiring if you are any of the following:

1. A former employee who is separated from the Company for cause, i.e., terminated or forced resigned.
2. A relative of a present employee up to the 4th degree of consanguinity or affinity.
3. A relative of a present employee handling confidential matters when this employee is assuming the control position.

If you are a former employee who would like to be re-employed with the Company, you will have to undergo again the evaluation and selection procedure administered by HR/GAD and the requisitioning unit. You will be treated just like a new applicant and when re-employed, you will be considered as a new employee who will be subjected to the usual temporary or probationary requirements of the Company.

Resignation/Separation

We constantly strive to maintain a working condition that allows you to find satisfaction within your work environment because as much as possible, we would like you to stay on with the Company, grow with it and experience the boost of its profits and services. However, certain factors may force you to leave the Company either through your own personal intention or the result of Company's decision.

If you initiate your separation from the Company, such as termed as voluntary resignation. Should this be the case, you must inform your superior in writing of your intention to resign at least 30 days in advance. The 30-day prior notification, which will start from the date that you submitted your letter of resignation to your supervisor/manager, will give you ample time to endorse your workload to your superior or to whoever will temporarily handle your job.

It would likewise give the Company sufficient time to source, recruit and select your successor so that the operation will not be hampered as a result of the discontinuance of your services.

When you resign from your job, the Company expects you to discuss the matter with your supervisor/manager upon submission of your resignation letter. Your superior evaluates your reasons for resigning and its effect on the over-all operation of the Company.

Your superior approves or disapproves your resignation after reviewing the reasons you cited and the effect of your separation to the Company operation. If your resignation is accepted, your superior decides on the actual date of your separation from the Company, and this date is noted on it, you will endorse this to the HR/GA Manager who will carry out exit interview.

HR/Payroll will prepare your clearance and quitclaim notices which are requisites for the release of your last pay. Payment of your last salary will only be done after the lapse of your 30 days advance notice and 30 days after you have submitted to HR/Payroll your clearance and quitclaim completely accomplished, signed by the approving authorities and notarized.

In other circumstances, the Company may seek to terminate your employment services. This happens when you fail to meet certain work and behavior standards, after you were given sufficient warnings. Such decisions are made after we have thoroughly reviewed the surrounding events and discussed the situation with your superior.

Other grounds in which the Company may initiate your separation are, retirement, retrenchment or lay-off and termination.

If you are already 50 yrs of age and have served the company for at least 5 yrs, the Company initiates your retirement from employment service. These two (2) conditions must be present in order for you to claim for the retirement benefits offered by the Company that is established in accordance to the provisions of the Philippine Labor Code.

Retirement follows the same processing format as that of resignation. So once you receive a written reminder from HR/GAD of the date of your retirement, you must submit a letter of intent to retire to your department head. Similar to resignation, you should also observe the 30 days notice to give you enough time to transfer smoothly your work to your immediate superior or to whoever will be your successor. All remuneration accruing to your retirement, salaries and other benefits will be given to you 30 days after submission of the notices of clearance and quitclaim that are completely accomplished.

When the Company experiences business losses, downturns or reverse, it may resort to lay-offs and retrenchment schemes. But these actions will only be pursued after all other cost-cutting measures to save the Company from such reversals have been exhausted, the schemes are deliberated and unanimously decided by top management, approved by the President, all requisites and laws of the Department of Labor and Employment (DOLE) have been complied with and the move is fully backed-up by corporate financial statements and other necessary documents evidencing the losses of the Company.

There are situations when the Company may also initiate the termination of employment. When the employee became a habitual offender of the Company rules, committed a very serious offense against any of the established Company regulation or policy, or when management finds the action or misdeed very displeasing because it caused or threatened to cause grave harm to the Company operation and /or its employees. However, such decision is only arrived at after a thorough evaluation of the circumstances involving your case, due process was observed, the decision was approved by the President, consulted with the corporate legal counsel and when all procedures and laws of the Philippine Labor Code have been strictly followed.

All cases of separation from service, whether initiated by the employee or the Company, shall be granted exit interviews by HR/GA Manager or HR Supervisor.

YOUR Training and Development

Orientation

To set you at the right start with your employment at FEAP and to acquaint you further about your job and the Company, it is necessary that you undergo orientation on your first day of work.

At FEAP, your orientation consists of 3 phases and these are following:

1. a) Office Personnel

The first phase is conducted by the HR/GAD and the Safety Committee who will brief you on the Company's history, organizational structure, management style, operation in general, work rules, corporate procedures, code of conduct, employee benefits and welfare services, employee-related activities and the health and safety rules.

b) Production Personnel

In addition to the above, you will be oriented on product information and production processes which will be conducted by Production, QC and Engineering.

2. HR/GAD will tour you around the factory so that you get to be familiar with the different production processes, sections/ departments and facilities. In the course of your tour, you will be introduced to your co-employees.
3. The last phase is conducted by your manager or supervisor who will introduce you to your new job, explain to you the contents of your job description, extent of your responsibilities, performance standards of your position and 5S standards of your workplace.

Trainings and Seminars

Your personal growth and development is a priority of this Company because we believe that in order for you to become more proficient in your job and equipped to meet the challenges of the constant changes and competition within the organization, you have to acquire new knowledge and learn new skills. For this reason the Company invests time, interest and monetary support on your training.

When internal resources could not address your training needs, the Company sponsors your attendance to seminars and workshops conducted by reputable institutions. After completion of the seminar, you must submit to HR/GAD copies of your certificate of complete attendance and your narrative report on the relevance of the seminar/workshop or training to your present work at FEAP. These documents will then be included into your file for the future succession programs of HR/GAD. On some occasions, however, you will be instructed to conduct an echo seminar to your co-employees so that they too will gain the same learning and skills you have acquired from the seminar/workshop you have attended. If the training or seminar/workshop is conducted internally, i.e., held inside the plant and facilitated by the HR/GAD or other department, only a copy of your certificate of attendance is submitted. There may be instances however, that a narrative report of the seminar shall also be required from the employee.

When you are sent to train overseas that may last for one month or more, the Company, upon its sole discretion and depending on the nature of training, may or may not require you to sign a contract. The HR/GA Manager will explain to you in detail the provisions stipulated in your contract. During those trips, you will be granted a per diem allowance to sustain your expenses on meals if the host company does not provide these amenities. The Company shall likewise shoulder your expenditures on accommodation, transportation, insurance and other needs during your stay overseas.

Performance Appraisal

To monitor your efficiency and work attitude, your manager or supervisor evaluates your performance periodically. You will be kept informed of the results of their appraisal through the performance review meetings that your manager or supervisor will conduct together with you on a regular basis or whenever necessary.

Results of your performance rating reports record your supervisor's evaluation of your progress on your job and measure your potential value and possibilities for advancement. It therefore provides the Company with essential information that is useful in making sound decisions involving you as an employee.

If you are a regular or permanent employee, a documentation of your performance appraisal will be done yearly. On the basis of the results, your corresponding salary increase will be determined. But if you are a newly hired employee, your performance will be rated on the 5th month of your probationary or temporary term. But your superior is given the option to rate you twice during your entire probationary or temporary period and this will be on your 3rd and 5th month of employment. The results of both appraisals will be the basis of management in determining your eligibility for regularization or termination.

At FEAP, we utilize two (2) sets of performance appraisal instruments, the non-managerial performance appraisal system (NMPAS) and the managerial / supervisory appraisal system (MPAS). Both follow a sequence as stated below:

1. **Setting the Performance Standards**
At the beginning of the grading period, your immediate superior discusses with you the required performance standards of your position and the contents of your job description as criteria by which your contributions will be evaluated. This covers both your work objectives for a given grading period and the manner by which the desired results are attained.
2. **Performance Evaluation**
At the end of the grading period, your performance will be measured against your job description and the job objectives that you have agreed upon with your immediate superior at the beginning of your observation term.
3. **Appraisal Discussion**
This is when your immediate superior discusses with you the over-all appraisal of your performance, which is documented in the standard FEAP performance appraisal instrument.
Should you have points to raise regarding the result of the evaluation, you may note these down on the space provided for it on the appraisal sheet. Your comments will be endorsed to your succeeding superior for further review and final evaluation.

All of your performance evaluation results will be made part of your work records and will play a very important role in determining your career and advancement in the Company.

Transfer and Promotions

During your entire employment in FEAP, there will be occasions when management may decide to effect some changes in your employment condition as when you are promoted, demoted or transferred.

If you are transferred to a position of equal rank or grade in the salary scale and with change in your duties and functions, your movement is termed as lateral transfer. Because of the nature of the movement, a lateral transfer does not merit salary increase. But if your transfer is to a position of higher job level in the salary scale, your movement is called vertical transfer or promotion. Such moves are usually with corresponding salary increase, except in instances when your current pay is in the “red circle” rate of the salary scale, i.e., your current rate is more than the entry rate or minimum rate of the pay scale of the position where you were promoted. In such case, your pay will be frozen until the new salary range shall include your current salary.

When you are recommended for a vertical position, your confirmation to your new position will only be effected when you have complied with the following requirements:

1. Promotion to a higher level of the same title. – at least two (2) years in service in your current position
2. Promotion to a higher level of different title – at least two (2) years service in your present position;

and, provided further that you have successfully passed the “observation period” of six (6) months. Your qualifications, capability and seniority will all be taken into consideration.

In cases wherein your transfer to another work unit is an outcome of management’s decision, it is termed as company-initiated transfer. But when you yourself request for your transfer to a work unit where a vacancy exists, such is called as employee-initiated transfer.

The following is the procedure to be followed when implementing lateral transfers and promotion:

1. Company-Initiated Lateral Transfer

Recommendation for your permanent lateral transfer must be supported with an approved APBS 10030 Form 1 or request for personnel movement (RPM) and an appraisal of your performance during the preceding grading period. Your superior prepares and routes the RPM to its approving authorities if your transfer is just within your work unit.

But if your transfer is to another work unit, it is the receiving work unit head prepares and routes the RPM.

When the RPM is completely signed and approved, it is submitted to the HR/GA Manager who the prepares or delegates the preparation and distribution of personnel action notices (PAN) to the releasing and receiving work units, payroll, 201 file and the affected employee.

2. Company- Initiated Vertical Transfer or Promotion

If your movement is a vertical transfer or promotion, prior to effecting the move, there should be a discussion of the merits of your promotion and a thorough assessment of your qualifications and skills, 201 file, work attitude and performance appraisal ratings. There may be occasions when further evaluation is necessary such as requiring you to take the psychological and/or technical exams. Your superior and the HR/GA Manager should initiate carrying out these added procedures in order to make certain that your intelligence, skills and competence meets the job specifications of the post where you will be promoted. Please refer to our guidelines on promotion.

3. Employee-Initiated Transfers

If you desire to transfer to another post work unit, whether it is lateral transfer or promotion, you should inform your superiors in writing of your intention. In your written information, you should indicate that such movement would only take effect when approved by the requisitioning unit.

Once your request is approved, you follow the same procedural format as that of Company-initiated transfers.

4. Demotion

As a general rule the Company does not demote, unless the employee incurred below par performance in three (3) successive grading periods, despite receiving repeated counseling and/or disciplinary action done by the superior. Such moves must be supported by an objective assessment of your performance. Likewise, it is thoroughly deliberated and unanimously decided by the Mancom, approved by the President, consulted with the corporate legal counsel and all procedures and requisites of the labor law are complied. There shall be no diminution of your salaries and benefits when you are demoted to a lower position.

YOUR Compensation

Annual Merit Increase

Every year your performance and behavior will be evaluated by your superiors and based on the results, your corresponding annual merit increase will be determined. The annual merit increase takes effect every January of each year.

Although your performance is a factor to consider, we must give weight to the affordability or budget of the Company, size of the present manpower, approved salary range of your position, and current business situation of the industry in determining the amount of your salary increase.

Government-Mandated Salary Increase

Your salary may also be adjusted when the Company complies with the legislated wage/salary increase declared by the government.

HR/GAD prepares summary reports on the possible effect of the legislated wage increase to the Company and it also makes recommendations when salary distortion and compression are perceived. The reports are submitted to the President who renders a review and final decision.

Promotional Increase

When you are promoted to a higher position it is usually accompanied with an increase of your salary termed as promotional increase. Such increase takes effect upon your confirmation to your new post.

Payment of Salaries

The Company pays your salary on a semi-monthly basis, every 15th and last working day of the month. In cases wherein the 15th and last working day of the month falls on a Sunday or a holiday, disbursement of your salary will then be done on the last working day preceding the holiday or Sunday.

But special conditions apply to Christmas holidays where schedules vary from year to year. In such case, the adjusted schedules are displayed on the bulletin boards.

During payday, salary may be withdrawn from the bank designated by the Company using your ATM card. We advise you to be extra careful not to misplace or lose your ATM card because of the risk involved. When you do lose your ATM card, we advise you to report the incident immediately to your superior and/or HR/GAD so that appropriate action may be undertaken.

It is also important that you secure a copy of your pay slip from Payroll Section during payday because the slip documents the amount of your take-home pay, deductions and all other data pertinent to your compensation for a given payroll period.

Holidays with Pay

In compliance to the provisions of the Labor Code, the Company observes the government mandated legal or regular holidays and special days. The twelve (12) legal holidays include New Year's Day (January 1), Maundy Thursday (movable date), Good Friday (movable date), "Araw Ng Kagitingan" (April 9) Labor Day (May 1), Independence Day (June 12), National Heroes Day (last Sunday of August), Bonifacio Day (November 30), Christmas Day (December 25), Rizal Day (December 30), Feast of Ramadhan/Eid'1 Fitr (movable date) and Feast of Sacrifice/Eidul Adha (movable date). The nation also observes special days and these are Ninoy Aquino Day (Aug.21). All Saint's Day (November 1) and last day of the year (December 31) and other days that will be promulgated by the government as special days.

Whether you are a monthly-salaried or daily-salaried employee, you will be compensated during legal holidays even if you did not render work on these days. This condition will not be so during special days, because only monthly-paid employees will be compensated during special holidays. If you are a daily wage earner, you will not be paid during special days unless you have actually worked on these days.

In addition to legal and special days, the Company also declares certain days as holidays to give employees more time to rest and attend their domestics and personal concerns. Company-initiated holidays are treated simply as No Work days.

The Company may also declare a shutdown due to business reverses, lack of orders and financial setbacks. When these occur, treatment of the non-working days becomes different because the nature and purpose of the declaration is to save on costs and curtail further expenses and losses for the Company. Thus, Company-declared shutdown is always treated as without pay. But in order for regular employees to be compensated on these days, you are given the option to use your earned leaves with pay.

If you are absent on the last working day preceding a holiday and your absence is considered as without pay, you will not be compensated on the holidays unless you have actually worked on these days. But, if your absence is with pay, i.e., you have secured the approval of your superior for your absence and you have accrued leaves with pay to compensate for the days that you did not report for work, then your holidays will be paid.

Overtime Pay

There are occasions when you are required to perform work beyond your regular working hours, on holidays and even on your designated rest days because you were unable to finish an urgent job within your regular working time, or additional jobs were delegated to you. Such is called overtime work (OT).

For your OT work to be compensated, it must have the prior approval of your superiors and documented in an approved overtime authorization. This must be submitted to HR/GAD in advance for inclusion in your payroll and for shuttle arrangement purposes. Putting off the filing of your OT authorization to a later date causes delay and back work for HR/GAD and does not conform to our approved Company policy. So we strongly discourage you to form this habit.

Only those permitted to render overtime work are allowed to stay in the Company premises past working time or during non-working days.

If you are absent/on leave the whole day before a holiday, you are not allowed to work overtime during a holiday. Likewise, if you filed a half-day leave, you will not be permitted to render overtime on the same day.

When you are permitted to render overtime work, you will be compensated with a premium as follows:

	1st 8 Hours	In Excess of 8 Hours
Regular Day	100%	Plus 25% of the basic hourly rate
Company Holiday	125%	125%
Special Public Holiday, Sunday or scheduled rest day	130%	Plus 39% of the daily rate of 130% or a total of 169%
Legal Holiday	200%	Plus 60% of the daily rate of 200% or a total of 260%
Legal Holiday and rest day	260%	Plus 78% of the daily rate of 260% or a total of 338%
Rest Day and special public holiday	150%	Plus 45% of the daily rate of 150% or a total of 195%

Night Differential (work rendered from 10:00 pm Until 6:00 am the next day)		10% of the basic rate for each hour
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YOUR Work Hours and Work Days

We are currently operating on a 24-hour basis from Monday to Saturday (6 days in a week). Hence, your work schedule may follow any of this 3-shift slate with each shift having a 30-minute lunch break that is compensable.

1st Shift	From 6:00am to 2:00pm
2nd Shift	From 2:00pm to 10:00pm
3rd Shift	From 10:00pm to 6:00am

The general offices follow the 7:30 am to 5:30 pm compressed work week (CWW) schedule with one (1) hour lunch break and 30 minutes coffee break (15 minutes in the morning and another 15 minutes in the afternoon) from Monday to Friday. Under the CWW scheme, the employees are entitled to 2 rest-days per week for rendering longer working hours daily without the claim for overtime. Adaptation of this work scheme is in accordance with the Department Order No. 21 series of 1990 of the Department of Labor and Employment (DOLE)

Determining your work schedule or shift assignment is a management prerogative. So your current work schedule may, if the need arises, be changed accordingly to suit the requirements of the Company's operation.

Punctuality and Attendance

In an industrial set-up like our Company, your regular attendance is a stabilizing factor in planning and production. Regular attendance means that at the start of your work shift you are already at your work area actually working. It also refers to your proper observance of the established break periods. So important is your presence in your work unit, that the factor of attendance is given weight in your performance rating.

To register your attendance, a timecard, an ID card with a barcode unit or any time keeping unit is issued to employees. Make sure that when you punch your timecard in the bundy clock or swipe your ID in the log box, your "time in" and "time out" are correctly entered or captured by these devices. Otherwise, your attendance for the day will not be counted and paid.

To keep track of your attendance for a given period, HR/GAD refers to your timecard or data generated from the computerized log box.

Keep in mind that the data derived from your timecard and the log box will be the basis of the payroll section in determining your salary for a given period. Inaccurate entries will result in miscalculation of your take-home-pay and will cause you and the payroll section some inconveniences.

When you unintentionally failed to swipe your ID in the timekeeping device, you have to submit to HR/GAD a Certificate of Attendance that is signed by your superior to affirm that you have reported to your work during the day. HR/GAD strongly discourages you from forgetting to swipe your ID as this is a manifestation of your disregard to obey the Company rule. If you manifest such negligent behavior, you will be administratively charged and penalized accordingly.

1. Absences

Your absence may either be authorized or unauthorized depending on the reasons you cited and the supporting documents you presented. It is authorized if it is previously arranged, approved by your superior and the justifications you cited are valid. It becomes unauthorized or AWOL (absent without official leave) if the reasons you cited did not merit the approval of your superior, you failed to inform the Company of your absence and you were not able to present valid supporting documents. An unauthorized absence is an offense against the Company's established rule on attendance and it is always treated as without pay.

A mere notification of your absence through the telephone does not necessarily mean that your absence is excused. It is not just informing your superior of your absence but securing your superior's approval for your absence. So if your absence were incurred within the knowledge but not the approval of your superior, it would still be considered as AWOL (absence without official leave). An AWOL is a violation of the Company's policy on attendance and it merits a disciplinary action.

Vacation Leave should be filed and should be approved at least one (1) day before the actual day of absence. If you file your vacation leave on the day itself or after the actual day of absence, that would be considered late filing and therefore unauthorized, except for emergency cases.

In cases of unplanned leaves due to emergency cases and others, you should notify your respective supervisor/manager by calling within 2 hours of your scheduled duty. Text messages will not be allowed.

In cases of sickness even for 1 day or more, you should present a medical certificate as proof of illness to secure Manager's approval.

Emergency and Sick Leave should be filed immediately upon return to work with attached proof of absence.

A continuous absence of fifteen (15) days or more without proper permission will be considered as ABANDONMENT of work which would lead to your dismissal from employment service due to the disruption caused to the operations by your prolonged absence.

2. Tardiness

You are considered tardy when you report for work past your assigned and required reporting time.

The treatment of the Company for the tardiness varies on the required time to be in the assigned area of the employees depending on the classification of work:

1. If you are classified either as a staff, office personnel or indirect employee, or with position not directly related to setting-up of production, the maximum allowable late is 29 minutes after the start of you scheduled duty. If you incur late of 30 minutes and above, you will not be allowed to work or you may voluntarily take an option to stay but will be paid for a half-day work only.
2. If you are classified as a direct employee or with position directly related to setting-up of production, you will be sent home and will no longer be allowed to work if you incur 15 minutes late.

When you incur two (2) tardiness within a period of one (1) month without justifiable reason, your behavior will be considered as habitual tardiness and this is violation of the Company's rule on attendance. If you are habitually late in reporting to your work, you will be penalized with the following:

1st offense	Oral Reprimand (recorded)
2nd offense	Written Reprimand
3rd offense	3 days suspension without pay
4th offense	10 days suspension without pay
5th offense	Dismissal

Habitual tardiness of once a month within a period of three (3) consecutive months shall be considered as one offense. First offense is punishable by oral reprimand.

The Company allows for a 5-minute grace period. When you report for work past the permissible grace period, the amount corresponding to the total number of minutes that you were late shall be deducted from your day's pay.

Your tardiness can only be excused and will not be subjected to a deduction in pay and penalty if the reasons for being late is due to strong typhoon, flood, unusual traffic jam where several employees are affected, and such other similar fortuitous events that may be determined by the HR/GA Manager and/or Department Head concerned as meritorious.

3. Under time/ Half-Day

A half-day absence or under time occurs when you reported late for work for less than four (4) hours, or leaving the office earlier than quitting time.

Approval of your under time or half-day absence follows the same rule and processing format as that of the other absences. If you render an under time or half-day absence, you must notify your superior of your request and secure your superior's permission. An approved leave request supports your absence.

Being late for more than five (5) hours will be considered absent for that day.

YOUR Benefits And Welfare Services

13th Month Pay

Whatever employment status you are in, whether you are assuming a temporary, probationary or permanent employee, so long as you have rendered at least one (1) month continuous service with the company, you will be entitled to a 13th month pay.

As 13th month pay is computed on a pro-rated basis. Your current rate and the tenure of your employment will determine the amount of your 13th month pay.

Christmas Bonus

Your Christmas bonus is given every month of December. The amount of which depends on the approved budget of the Company, the performance of the Company during the year and from the overall evaluation of your work attitude, your productivity and contributions to the operation of the Company including your attendance ratio, and your term of employment.

The Christmas bonus is a Company prerogative and therefore must not be misconstrued as a regular feature of the Company's benefits package. It is only given when the Company is experiencing good business.

No Interest Rate Salary Loan

The "no interest rate" salary loan program is open to all bona fide regular employees of FEAP who have stayed with the Company for one year, with no outstanding debt with the Company. The employee-borrower must secure qualified co-makers/guarantors.

Loan shall be granted in accordance with the existing policy of the Company. The maximum amount of loan that you can avail of is two (2) months of your basic rate. You can pay your loan through salary deduction in 3, 6, 9 or 12 months equal installment depending on your paying capacity. The merits of the justifications you cited, urgency of your need and your paying capacity are the determining factors for the approval/disapproval of your loan application. It must be that your take home-pay, after deducting the amortization of your loan is not less than 60% of your total basic monthly salary. Otherwise, your loan application will be denied or the amount of loan applied will be reduced.

Your department head authenticates the validity of your loan application. The HR/GA Manager and the Accounting Manager further screen and recommend its approval/disapproval. The President makes the final approval.

The program also provides that the prerogative to determine the amount of loan that should be granted to you and the duration of your payment is vested on the Company. Thus, the Company is given the authority to require from you certain documents that would substantiate the reasons you cited in your application.

It is our desire that you manage well and be control of your finances. Since the Company is not in the business of lending money, it can only grant loans subject to the availability of funds. Thus, the scheme must not be viewed as privilege but rather as management's discretion for humanitarian reason. Further, please note that management reserves the right to institute terms and conditions later on should the need arises.

Retirement Benefits

As mentioned earlier, the Company provides for your retirement or separation from service. If you are a regular employee of the Company, you shall be entitled to the following benefits:

1. Normal Retirement

If you are 50 years old and has served the Company for at least 5 years, your retirement benefit shall be 100% of your Plan Salary for every year of Credited Services.

2. Late Retirement

If the Company would still require your service beyond your normal retirement date, you shall be allowed to stay with the Company but not beyond age 55. In this case, your retirement benefit shall be 100% of your Plan Salary for every year of service including the extension of Credited Service.

3. Early Retirement

If circumstances would require you to leave the Company prior to your normal retirement date, you shall be entitled to a percentage of your Plan Salary for every year of Credited Service provided you have stayed with the Company for at least 5 years.

4. Death and Disability Benefit

In case of death of an employee, his family shall receive an amount equivalent to 100% of employee's Plan Salary for every year Credited. The same benefit shall be given to an employee who is retired by the Company due to permanent total disability.

5. Severance Benefit

Involuntary separation by the Company due to retrenchment program, redundancy or for cause not due to your own fault shall entitle you to a benefit in accordance with the provision of the Labor Code or the Retirement Plan whichever is greater.

Absences With Pay

There are occasions when you are unable to report to your work for one reason or another. Should this occur, you must accomplish a leave request form, route the form to its official signatories and when completely signed, submit it to HR/GAD for further processing and inclusion in payroll, subject to the cut-off date for payroll. Based on the reasons you cited, your absence may be classified into any of the following:

1. Sick Leave (SL)

Absence due to illness or other medically related causes is termed as sick leave. Sick leave even for 1 day or more, a medical certificate signed by your attending physician is required for the approval of your leave request.

You are directed to see the Company nurse or doctor immediately on the day that you reported for work, before you proceed to your work area. The Company nurse or doctor will assess your physical condition and will render a recommendation whether you are fit to resume your normal duties or still need rest to fully recover from your illness. It is only when you have completely regained your health that you will be permitted to resume to your normal duties in work.

There will also be occasions when the Company nurse would drop by your home, hospital or clinic where you are confined to determine your health condition, provide you with medical advice and discuss your sickness, medication and recovery with your attending physician. Such actions are initiated when you have not reported to your work for more than three (3) days because you are sick. When the Company Nurse conducts such visits, she makes a report of the outcome of it and distributes copies of the report to the department head concerned and HR/GA Manager for their information and further action.

Your SL maybe compensated, provided that you have been working with the Company continuously for a period of one (1) year and have submitted to HR/GAD a leave request form duly approved and signed by your superiors. You automatically qualify for sick leave credits after your first year of employment and as you gain tenure with the company, the number of your SL credits gradually increases as in the following:

One (1) year continuous service	9 days sick leave with pay
Two (2) years continuous service	12 days sick leave with pay
Three (3) years or more of continuous service	15 days sick leave with pay

Previously, unused sick leave credits were not convertible to cash. However, starting July 2003 your sick leave credits are converted to cash. Please refer to the original policy and procedure covering the disbursement of cash conversion. All unused sick leave credits are subject to tax.

2. Vacation Leave (VL)

When you simply want to rest or attend to your personal or domestic concerns, your absence is termed as vacation leave.

When you want to take a vacation leave, you must secure the approval of your superior at least one (1) day prior to your actual absence so that your superior would have enough time to plan the activities of your work unit and identify your reliever. Failure on your part to render prior notification may result to considering your absence as unauthorized and therefore without pay.

Similar to sick leave, your vacation leave is compensated provided, you have rendered at least one (1) year continuous employment with the Company and your superior approves your absence. It likewise increases in number as you gain tenure with the Company as in the following:

One (1) year continuous service	11 days VL with pay
Two (2) years continuous service	14 days VL with pay
Three (3) years or more of continuous service	17 days VL with pay

Your unused vacation leaves are convertible to cash. Its equivalent amount will be given to you on the month of December of the same year, or as prescribed by the Company. Unused vacation leave credits in excess of (10) days are subject to tax.

To compute for your unused SL and VL, the following formula is used:

Current Daily Rate x No. of unused SL/VL w/ pay = Equivalent cash conversion

HR/GAD will monitor and document your earned and used sick and vacation leaves and has the authority to disapprove payment if inconsistencies are noted on your leave request form, or if there are perceived violations in the filing of your request.

3. Bereavement Leave (BL)

When you have to attend the wake and funeral of your immediate relative who passed away, you may avail of the bereavement leave with pay, which is for a maximum period of three (3) days. Bereavement leave may be availed of within ten (10) days from the date of death of your immediate relative. Only regular employees can avail of bereavement leave.

Your immediate relative refers to your legitimate spouse, children and parents if you are married. It refers to your siblings and parents, if you are single.

Bereavement leave also applies to employees undergoing overseas training in Japan whose immediate relative passed away. In case, FEAP will shoulder the fare and attendant expenses from Japan to Philippines and vice-versa.

Filing of your bereavement leave should be done immediately on the day that you reported back for work. You must support it with a copy of the death certificate, or if this is not immediately available, a certification from your “barangay” captain that you have indeed attended to the wake and funeral of your dead relative will suffice.

4. Nuptial Leave

A nuptial leave is for a maximum period of five (5) days and you can avail of it if you are a regular employee of the Company. With the period allotted, you will have enough time to prepare and attend to the details of your wedding.

You should file your request for nuptial leave prior to the actual date of your absence and you should support it with a proof of your pending marriage. The nuptial leave when not used during the year is forfeited.

5. Paternity Leave

If you are married male employee whose wife had just given birth, or had a miscarriage or abortion and you want to have time to lend support to her during the period of her recovery and/or nursing of the newborn child, you may avail of the paternity leave with pay for a maximum of seven (7) days, provided the following conditions are satisfied:

1. Your legal spouse with whom you are cohabiting has delivered a child, has a miscarriage or abortion;
2. You have informed the Company of the condition of your wife prior to the expected date of her delivery by accomplishing the standard form of the Company;
3. It is still within the first four deliveries of your legal spouse.

To support the approval of your paternity leave, you must submit to HR/GAD a copy of your valid marriage contract and a true copy of the birth certificate of your new born child. The leave is forfeited if within 60 days you have not used it counting from the date of your wife's delivery.

6. Maternity Leave

If you are a female employee and a member of the Social Security System (SSS), you may avail of the maternity leave benefits provided by the System subject to its rules and regulations.

When your delivery is normal, you had a miscarriage or medically necessary abortion, you can claim from SSS 60 days maternity leave allowance. But if your delivery was through caesarian operation, your maternity leave allowance will be 78 days.

The qualifications for entitlement to the maternity benefits are:

You are gainfully employed at the time of conception, time of delivery, miscarriage or abortion.

You have notified SSS of your condition through your employer by accomplishing the SSS (MAT 1 - Maternity Notification Form)

Your employer must have paid at least three (3) months of maternity contributions within the 12-month period immediately before the semester of contingency.

Welfare and Health Services

1. Health Maintenance

When granted regular employment by the Company you are automatically enrolled to its designated health maintenance provider and all premiums accruing to your membership to the said provider will be undertaken by the Company. You are also permitted to enroll any member of your immediate family (i.e. spouse and children if married, and parents and siblings if single) to the health provider under its corporate account on the condition that they are qualified and the cost of their premiums will be deducted from your salary.

The medical benefits and services package that the health provider offers include medical consultation/out patient services, hospitalization, medicines (if confined; in-patient), emergencies, complex diagnostic examinations, dental care services, financial assistance including accidental death and dismemberment and pre-natal and post-natal maternity care.

As an enrollee of the said provider, you will be given an ID card, which you will present to the clinic or hospital where you seek medical consultation and treatment and/or confinement. Your ID card validates your entitlement to all the medical benefits and services offered by the provider to its members. Your family members, whom you have enrolled, can also avail of these benefits and services.

2. Medical Services

The company likewise provides you with a clinic, equipped with the basic medical facilities where you can be treated whenever you become ill or injured in the course of performing your official function or while inside the Company premises. The Company nurse or doctor will attend to you and provide you with treatment and palliative care.

The clinic, however, can only administer first-aid treatment and initial dosage of your medicine. So if your injury or illness needs further medical treatment, which is beyond the capacity of the clinic, the Company nurse or doctor may endorse you to a medical specialist or hospital.

3. Lactation Facilities

If you are a female and nursing employee, the company provides you with a lactation station which is private, clean, sanitary, and well-ventilated room

where you can wash up, breastfeed or express your milk comfortably and store this afterward. This is located inside the company's clinic.

This is in pursuant to House of Representatives Order No. 4012 otherwise known as "Workplace Lactation Station Act of 2008" and to Section 11-12 of Chapter 3 of the Implementing Rules and Regulations (IRR) of Republic Act (RA) 10028 otherwise known as "An Act providing incentives to all Government and Private Health Institutions with Rooming-in and, Breastfeeding practices and for other purposes".

If you are to use this facility, you should coordinate with the Nurse on Duty for assistance.

Transportation Allowance

You are given a transportation allowance (TA) if you are a regular employee of the Company. The amount of which is fixed for all employees which may change from time to time as the Company deems necessary.

The allowance subsidizes your fare whenever you take the public transport whether on a regular working day or during overtime when shuttle service is not available.

Bereavement Assistance

As an expression of our condolences in your moment of bereavement, whenever you encounter death of an immediate member of your family, the Company grants you bereavement assistance in the form of cash. If you are married, the immediate members of your family refer to your legal spouse, children and parents. If you are single this is ascribed to your parents and siblings.

Aside from the cash, the Company also sends a funeral wreath to the venue where the wake is being held. The cash assistance and wreath are given to you if you are permanent employee of the Company.

Meal Allowance

You are given a meal allowance if you are a permanent employee. The allowance is computed based on the number of days that you have actually reported for work. Thus, you cannot avail of the allowance on the days that you are reported as absent.

Overtime (OT) Meal Allowance

You shall likewise be entitled to additional meal allowance if you render overtime work. The amount is based on the number of hours that you have actually rendered.

SSS and Pag-Ibig

As soon as you are hired to assume any of our vacant post, we report your name to the SSS and Pag-Ibig offices so that you can claim the benefits offered by these government entities to its members. Through your monthly SSS and Pag-Ibig premiums that will be deducted from your salary, plus the Company's counterpart contribution, you are secured at SSS and Pag-Ibig.

Among the benefits that you could derive from the SSS are sickness, maternity, disability, retirement, death, salary loans, stocks investment loan and educational loan. Pag-Ibig fund, on the other hand, offers its members some benefits such as short-term loans, housing and livelihood loans, which you can avail.

Uniforms

The Company believes that a well-groomed appearance contributes to a pleasant and respectable corporate setting. Thus, the Company provides you with uniforms in order to foster this positive effect. Every year, you are given sets of uniforms, which you are required to wear every time you report to your work.

These set of uniforms will be given to you free and come with different types and colors depending on your employment status and work assignment. However, in case of early resignation/separation after the issuance of the uniform, there is a corresponding percentage (%) of the uniform cost to be deducted from your final pay (See APBS 10018).

On holidays (including Company holiday), however, the officers and staff of the general offices are granted the privilege of wearing civilian attire but they are directed to strictly observe a dress code as a courtesy and deference to the Company and to maintain a decent corporate atmosphere. Wearing attire that does not conform to decency is definitely not allowed.

Canteen Services

You are encouraged to eat at the canteen to avail of the foods that are healthy, clean and comparatively of lower prices than those given at commercial eateries.

To ensure that the food you eat are handled properly and prepared in accordance to acceptable sanitation standards, the Canteen Committee (Concom) of the Company regularly checks on the cleanliness of the canteen and renders action whenever discrepancies are found out that will endanger the health of the employees.

Shuttle Bus Services

For your convenience and safety when reporting daily to your work, we have engaged the services of a shuttle bus agency, that owns several units of vehicles that could fetch and drop you and your co-employees at the designated pick-up and drop-off points at pre-scheduled times.

You are advised to be at your pick-up point on time because the shuttle bus will leave promptly in accordance to the schedule and will not wait for latecomers. This is to protect the other shuttle bus riders from incurring tardiness. Any concern or problem experienced with the shuttle bus must be reported immediately to the HR/GAD Manager so that appropriate action will be undertaken.

In taking a shuttle bus ride, a “No ID/No Ride” policy is implemented.

Supplies/Equipment

In your work, the Company provides you with office supplies and modern equipment it can possibly afford so that you can work with ease and convenience. But it also expects that you use these supplies economically and the equipment with utmost care as if it were your own.

Economic use of supplies means that the quantity of your requested supplies is only up to the limit of what you actually need. Wastage of supplies and impairment of the equipment as a result of your negligence incurs additional expense on the part of the Company.

When resigning or separating from service, you must endorse back to HR/GAD the office equipment, tools, etc. issued to your custody (except for the consumables). Otherwise, cost of whatever items you failed to return would be deducted from your last pay.

Food Allowance During Business Trips

When your work requires that you conduct trips within or outside of Laguna to transact an official business (OB) for the Company, these trips are termed as official business trips. OB trips are only allowed when supported by an approved official business (OB) trip pass. The OB pass is prepared in duplicate with the

original copy furnished to the guard on duty and the duplicate copy in your file for your reference.

A meal allowance for your expenses on food will be given to you whenever you are directed to go on an OB trip, the amount and administration of which is in accordance with the Company policy.

When you need to use Company car during your OB trip, you should express your request from HR/GAD a few days in advance and state the purpose of your trip, itineraries, date of trip and extent of time that you will use the vehicle so that the HR/GAD could organize the trips of the Company cars and ensure that their use is maximized. When the Company cars are not available or all drivers are out, you can take the public transport and reimburse from the Company the actual transportation fare you incurred.

There will also be occasions when you are required to go overseas for a business trip, which may be for just a few days or for a longer duration. In such cases, you will be given a per diem allowance for your expenses on food. You are also granted other amenities like accommodation at the host company, passports, visas, airplane tickets and transportation at FEAP's expense.

Recreational Activities and Facilities

To provide you and your co-employees with a breather from the tediousness of your work and to let you and the other employees experience a friendly, personal and informal environment where a "boss-subordinate" relationship does not exist, the Company initiates the holding of Christmas party every December, sports activities, and employees excursion every summer, and other recreational activities and events. Although it is the assigned committees who are involved in making certain that the affairs are carried out successfully and according to the plan, we still believe that the spirit of all of these is largely contributed by the utmost participation of all the employees.

Aside from these, the company also provides recreational facilities such as basketball/volleyball court, badminton court and table tennis area where you can use but only during your break time or after working time. You just have to coordinate with HR/GAD for the reservation.

Television sets are also available inside the canteen and rest area for you to have even a short glimpse of your favorite TV program while having your rest or break time.

Security

It is the Company's responsibilities to keep you protected and secured within and around the immediate vicinity of the factory premises and while you are in the course of conducting an official business trip outside. In order to fulfill this, the Company hired the services of reputable security agency and formulated and enforced security measures.

All employees, visitors, agency personnel, suppliers, contractors and other outsider must wear the prescribed Company ID whenever they enter the plant for proper identification.

On occasions wherein you want to bring or use your personal effects inside the general offices or factory, make sure that you have these logged by the security as soon as you enter the Company gates so as to avoid possible misidentification when the time comes that it is necessary for you to have your personal things brought out. On the other hand, when the situation demands that you have to bring out Company-owned confidential documents, diskettes, office equipment, etc., see to it that these are supported by an approved gate pass.

Another precautionary security measure is the frisking and inspection of your bag as well as that of the other employees, agency personnel and outsiders during dismissal time. This is to avert any possibility of pilferage or unauthorized bringing out of items owned by the Company.

Should you have visitors, they will not be allowed entry into our premises, especially during non-working days, unless they properly identify themselves at the security office and their intent is coordinated and cleared with you and your superiors and/or HR/GAD by the security guard-on-duty.

Health and Safety

Providing you with a healthy and safe working environment contributes for the enhancement of your efficiency, productivity and good work attitude.

To focus on this concern, the health and safety committee is organized. The group is tasked to conduct research, formulate health and safety rules and implement programs that would maintain or further enhance your working environment. Part of the responsibility of the group is to regularly inspect the entire plant and initiate action whenever violations pertinent to health and safety are perceived.

While it may be true that accidents are inevitable at times, it can be avoided if you, as an employee, follow the established health and safety rules. No matter how the Company safeguards your health and safety, nothing much can be done if you fail to help yourself.

Good Housekeeping

A clean and tidy work surroundings often results to tidy work. Thus, a good working environment is essential in a company.

Maintaining a good work environment does not only refer to making your work areas and equipment clean and tidy, but you should also see to it that your tools, files, documents, parts, etc. are arranged in an orderly fashion in their designated cabinets and compartments. Orderliness and cleanliness prevents the causes of accidents, minimizes hazards and eliminates wastes.

Parking Facilities

There are designated parking facilities for all vehicles entering the factory premises in order to make certain the vehicles' security and safety and for the smooth flow of traffic inside the factory premises.

Company cars, private cars of FEAP employees and that of very important FEAP visitors can use the parking area with shed fronting the factory extension building. There are also parking areas for the shuttle buses, container vans and other vehicles.

The front of the main lobby must not be utilized as a parking space. It is only when there are passengers alighting at the main door of the lobby that cars are allowed to pass by that area, but only to drop-off their passengers.

There is also a required speed limit for cars entering our premises and all drivers must strictly follow this as a safety precaution.

All private cars and accessories that are parked inside the FEAP premises is at the risk of the owners, and the Company undertakes no responsibility for any loss or damage it may sustain.

YOUR RESPONSIBILITIES

Office Decorum

The Company believes that in order to elicit from employees their utmost efficiency, loyalty and commitment, a factor to consider is the provision of a working environment that is family-like and harmonious. Thus, we encourage you, as a member of our team, to practice cooperation, industry and proper work attitude.

Be courteous and professional at all times and show respect for each other's role and scope of responsibility in the organization. Bypassing is a very rude, totally unacceptable attitude that only promotes ill feelings among employees as well as ruins good communication flow. No matter what the differences of opinions or biases you have in your work, it is still a show of good conduct and professionalism to consider the corporate hierarchy of authorities.

Avoid eliciting subjectivity, favoritism and personal prejudices about other employees because it is definitely unfair to be so and such attitude only serves as a barrier to promoting a harmonious working relationship.

As a subordinate, give due courtesy to your superior by giving your superior regular feedback about the developments in your job. Your superior has the right to be informed of the status of the work delegated to you. Moreover, when dealing with your superior, show politeness and avoid retorting sarcastic remarks, showing facial grimaces and displaying temper tantrums whenever your attention is being called or when you are asked to perform tasks. Should you have concerns on the tasks delegated to you, talk this out with your superior.

Avoid engaging in unnecessary conversation or avenging accusations with your co-employees and from other non-work related activities that could distract other people's attention from their work. Should you encounter conflicts or disagreements, discuss matters civilly with the other person in the proper venue. Any conflict could be settled if concerned parties agree for an open communication.

Conflict of Interest

In order that you will continuously keep a harmonious working relationship with FEAP management, you should avoid any activity, investment or interest that of your relatives, friends that may run counter to your responsibilities to the Company. This specifically means that you are expected to avoid having a personal or material interest or close relationship with any competitor, supplier or customer of FEAP.

You should likewise refrain from using your position at FEAP to neither advance your personal interests and that of your relatives, friends and other business nor seek employment or other interests from other Companies, especially competitors, which would impair or considerably affect your job performance.

Sexual Harassment

We believe that our employees must enjoy a working environment that is free from all forms of sexual prejudices or biases and where the dignity of every

individual is respected. Thus, in compliance to our labor laws under Republic Act No. 7877, otherwise known as the "Anti-Sexual Harassment Act" we prohibit the engagement of sexual harassment of any of our employees to another employee.

Use of Company Telephone

The telephone is an important medium in our day-to-day business transactions so as much as possible its use must be limited to official calls only. Personal calls are discouraged especially during regular working hours. Please understand that telephones are provided mainly for business transactions. All telephone lines must be used exclusively for official calls.

In answering the telephone, always be polite and avoid letting the caller wait for a long time before he could get any feedback from you if he will be able to talk to the person whom he is calling. Remember that it is important to maintain "quality image" when dealing people outside.

Social Visits

Social visits are discouraged, especially during working hours as this may cause some interruption and disturbance of your activities in your workplace. It will only be allowed if there is a pressing necessity and it is cleared with your immediate superior and the HR/GAD.

Locker and Shoe Racks

Bringing of bags and other personal belongings inside the production and warehouse areas is not allowed. Thus, to make sure that your belongings are kept safe while you are busy working, we provide you with a locker and padlock/key. Padlock/secure your locker before you proceed to your work area and before you leave during dismissal time.

Report immediately to HR/GAD and the security office any personal item lost in your locker so that appropriate action will be pursued. We would like to make it clear, however, that the Company shall not be liable for any loss of your personal belongings which you keep inside your locker, because of your carelessness, negligence and/or disobedience to directive issued by management pertinent to security. The company will only exert effort to assist you in searching for your lost item but it cannot guarantee that it can always retrieve back whatever item you've lost. The Company, as a measure of prevention shall continue to implement strict security measures inside the factory and if it finds out that the culprit is one of its employees, it shall implement a penalty corresponding to the offense committed by the erring person after due process is observed.

If the erring person is an agency personnel, the offense committed shall be discussed with the agency concerned for disposition and proper action.

Bear in mind that the task of ensuring security inside our work premises is a joint responsibility of the Company and its employees.

Inside the FEAP building, only the prescribed shoes and slippers are allowed to be worn. So during dismissal time make sure that you place these in their respective racks. Visitors and outsiders are likewise instructed to wear the prescribed rubber shoes and slippers before proceeding to the FEAP general offices and factory.

Personnel Records

It is important that your individual personal record is kept-up-to date at all times. The Company must have current and complete information about you so that it can be assured of accurate reports and reliable data and provide you with the services and opportunities to which you are entitled. Through the Employee Information Sheet you must keep HR/GAD updated of any change in your civil status, address, telephone numbers, dependents and other personal data.

Every year, HR/GAD shall distribute copies of Employee Information Sheet which all employees must accomplish. The inputs derived shall be incorporated into personnel records.

Selling, Solicitation and Distribution

Selling, solicitation and distribution of materials of any type for any purpose inside the Company premises is strictly prohibited as this often creates disturbance inside the factory.

Only valid activities permitted by the HR/GAD Manager are allowed inside the factory.

EMPLOYEE COMMUNICATION

Employee Programs

The Company has installed effective programs to further enhance communication, teamwork and quality-consciousness among its employees. These programs bring about action and create positive working relationships between management and employees.

Thus, as an employee of FEAP, you will be directly involved in some of these programs such as the management committee meetings, dialogue with the rank and file, performance review meetings, production/quality control meetings, quality circles and FR kaizen suggestion system.

Employees group themselves into QC circles and work as a team to determine, evaluate and resolve problems pertinent to quality and enhancement of products using tools such as pareto diagrams, fish bone analysis and graphs. The program is always carried out by a group of employees called a team. The members of the team are encouraged to suggest, analyze, investigate and resolve quality problems perceived in the production line. Based on these, conclusions and solutions are derived.

FR Kaizen, on the other hand, is a cost-reduction program wherein all employees, regardless of position or rank, are encouraged to contribute worthwhile and constructive ideas and suggestions that would improve their work and working environment. Its main objective is efficiency, productivity and quality within the limits of an approved budgetary scheme. Unlike the QC circle, the program does not require use of tools in analyzing and resolving problems. Employees may suggest individually or as a group.

Bulletin Boards

Bulletin boards are installed inside the factory premises with the intention of disseminating official information and notices to employees. Information such as messages from the President, Company news, reports on staff promotion and movements, rules and regulations and other memoranda are posted on these bulletin boards. So you are advised to read regularly and constantly refer to the notices and memoranda posted on the bulletin boards to keep you informed of matters affecting you as an employee of this Company.

We strictly prohibit you from tampering, removing, altering or mutilating the memos and documents posted on the bulletin boards because these are official documents containing important information. We also do not allow posting of any written information on the bulletin boards without the prior approval of the department heads concerned. In the case of the bulletin boards in Buildings 1 and 2, approval must be secured from the HR/General Administration Manager. For bulletin boards installed in the production, quality control and engineering departments, the heads of these departments render the approval.

Complaints and Grievances

When working with people, there will be occasions when you feel aggrieved over what may have or what may not have been said or done by your superior

or co-employees. If this is so, it is better to communicate immediately your feelings or grievance to your superior rather than resort to idle talk with your co-employees who may not be able to act on your concern. If misunderstanding and disputes are not satisfactorily settled with your immediate superior, you may approach the HR/General Administration Manager who will attend to your concerns. Complaints regarding services (shuttle, canteen, etc.) may be communicated using the complaints forms or during the Employee's Hour.

DISCIPLINE

Policy Statement

It is the Company's objective to preserve order and harmony in its organization. In order to achieve this, the Company has to see to it that your behavior is under control by imposing a set of rules and regulations, in which you and your co-employees are obliged to follow. Its purpose is not to restrict your rights as an employee but to define them and to protect the rights of all. These rules do not also serve as retribution but to impress upon you that you need to do things in prescribed manner.

ANTI-BRIBERY AND CORRUPTION (ABAC) (Reference: APBS-10072)

The company upholds the commitment of the whole Furukawa Electric Group to anti-bribery compliance throughout its management and operations as well as determined that the group-wide management of bribery risks is of the utmost importance.

The ABAC Policy is part of FEAP's response to the threat and risk of bribery and corruption. It builds to form a comprehensive and practical approach to compliance. It is bound to comply with all applicable laws in the country, to prohibit and taking of bribery, and to accurately reflect all transactions on the company's books and records. Moreover, to fully prevent giving and taking of bribery throughout our operations and maintain the integrity of our business. All business partners of FEAP with whom they do business are required to comply with this policy and all Philippine laws governing anti-bribery and corruption.

Policy Statement

It is the policy of the company to carry out all its business dealings with highest standards of integrity required for all Furukawa Electric Group. This policy declares that corrupt practices are not acceptable in FEAP both in the private and government sectors transactions.

WHISTLEBLOWING POLICY
(Reference: APBS-10073)

Part of the Company's Anti-Bribery And Corruption Policy is the Whistleblowing procedure. This addresses the commitment of the company to integrity and ethical behaviour by helping to foster and maintain an environment where you as an employee can act appropriately when you discover information which you believe shows serious malpractice, without fear of retaliation punishment or unfair treatment.

Reporting Allegations of Misconduct or Improper Activities:

1. You may report allegations of suspected serious misconduct or any breach or suspected breach of law or regulation that may adversely impact the Company, the Company's customers, shareholders, employees, investors or the public at large.
2. Acts of misconduct has to be reported in writing, whether thru the official Whistleblower Report Form or email so as to assure a clear understanding of the issues raised.
3. All reports should be sent directly to any of members of the Whistleblowing Committee. You may refer to APBS-10073 regarding the details and updated contact information of the Whistleblowing Committee members.

EMPLOYEE CODE OF CONDUCT

A. Coverage:

All employees regardless of rank and status in the Company.

B. Application:

The Company shall apply corrective action when an employee has failed or repeatedly failed to meet Company Standards of performance or when violations of the Code of Conduct occur.

The immediate superior shall be responsible for maintaining discipline and morale among his subordinates and for initiating corrective action when the facts warrant such action.

C. Due Proces:

The right to due process shall at all times be respected. No penalty may be imposed unless the right to be informed has been granted to alleged offender. The right to due process includes:

1. The right to be informed of the nature and cause of accusation against alleged offender.
2. The right to be heard (which, in our case is the right to explain).

The Company follows the Procedure in Implementing a Disciplinary Action. Please see text in the next pages.

D. Guidelines:

Below are the classification of offenses with their corresponding disciplinary sanctions.

1. According to Severity:
 Class A - Light or Minor offense
 Class B - Heavy or Major offense
 Class C - Serious offense

2. Corrective Action/ Disciplinary Measures:

Frequency	Class A	Class B	Class C
1st	Oral Reprimand	Written Reprimand	Dismissal
2nd	Written Reprimand	Suspension 7 days	
3rd	Suspension 3 days	Suspension 15 days	
4th	Suspension 10 days	Dismissal	
5th	Dismissal		

3. Treatment of Offenses:

The rule of progression shall always be observed on the imposition of corrective actions. Thus,

1. All offenses shall be treated a cumulative basis.
2. Succeeding offenses shall be meted out with the next higher corrective action.
3. Two or more offenses emanating from a single act shall be dealt with a more severe disciplinary action.

The Company believes that all employees have the potential for self-improvement, thus penalties for Class A or Minor offenses shall be prescribed for one (1) year from the date of the commission of the (first) offense; for Class B or Heavy or Major offense shall be prescribed for five (5) years from the commission of the (first) offense, giving employees the chance to start with a clean slate after the prescribed one year period.

4. Habitual Delinquency

There may be occasions wherein an employee commits offenses covered by separate provisions. At times, these offenses are committed repeatedly collectively over a certain period which requires the implementation of disciplinary action for repeated violation.

For purposes of this Handbook, habitual delinquency shall mean repeated violation of any of the offenses as specified in our Code of Conduct.

1. Disciplinary Action for Habitual Delinquency

A. Within One (1) Year

- 1. Committing 5 offenses which is punishable by written warning - Termination
- 2. Committing 3 offenses which is punishable by Suspension - Termination
- 3. Committing any nine (9) offenses - Termination

B. Within One (1) Month

- 1. Committing any 3 offenses - 7 days suspension
- 2. Committing any 4 offenses - 15 days suspension
- 3. Committing any 5 offenses - Termination

The aforementioned disciplinary sanctions are over and above the disciplinary sanctions given for regular offenses.

Prescriptive period of one (1) year shall refer to a 12-month period from the date of commission of last offense.

Prescriptive period of one (1) month shall refer to a 30-day period from the date of commission of last offense.

OFFENSES AND DISCIPLINARY SANCTION

Legend:	OR	-	Oral Reprimand
	WR	-	Written Reprimand
	S-3	-	Suspension (3 days)
	S-7	-	Suspension (7 days)
	S-10	-	Suspension (10days)
	S-15	-	Suspension (15 days)
	D	-	Dismissal

<u>CLASS A OFFENSES</u>	FREQUENCY				
	1st	2nd	3rd	4th	5th
1. Failure to report immediately a personal injury or damage to Company property during working time.	OR	WR	S-3	S-10	D
2. Non-cooperation in any Company group activity or work	OR	WR	S-3	S-10	D
3. Failure to notify the Company when he/she is absent from work.	OR	WR	S-3	S-10	D
4. Late or beyond 2 hours notification of his/her scheduled duty in cases of unplanned absence or emergency	OR	WR	S-3	S-10	D
5. Non-filing of leave upon return to work for unplanned absence; and failure to seek prior approval of leave in case of VL/planned leave	OR	WR	S-3	S-10	D
6. Absence due to sickness even for 1 day w/o medical certificate or prescription;	OR	WR	S-3	S-10	D
7. Proof of absence does not coincide with the actual date of leave	OR	WR	S-3	S-10	D
8. Failure to wear the prescribed Company uniform or ID while inside the Company premises.	OR	WR	S-3	S-10	D
9. Failure to swipe ID in the Company's time-keeping device. Three (3) times within a period of 30 days is considered as one offense where no in and out within the same days is counted as 1 commission.	OR	WR	S-3	S-10	D
10. Frequently coming late to work w/o justifiable reason. Being late 2 times within a 30 day period is considered to be frequently late.	OR	WR	S-3	S-10	D
11. Habitual tardiness of once a month within a period of three (3) consecutive months.	OR	WR	S-3	S-10	D
12. Failure to render overtime work w/o valid reason after having been informed and scheduled.	OR	WR	S-3	S-10	D
13. Abuse of regular break period, either taking longer time than allowable, taking unscheduled break time, or stretching meal breaks.	OR	WR	S-3	S-10	D
14. Holding unauthorized meetings within Company premises.	OR	WR	S-3	S-10	D

CLASS A OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
15. Distributing unauthorized printer and written materials of any description on Company time and premises	OR	WR	S-3	S-10	D
16. Refusal to acknowledge receipt of any notice, memo or Company letters addressed to any employee of the Company	OR	WR	S-3	S-10	D
17. Excessive use of the telephone for personal reasons w/in or outside Company time.	OR	WR	S-3	S-10	D
18. Allowing unauthorized passenger in the service vehicle.	OR	WR	S-3	S-10	D
19. Violation of speed limit within Company premises.	OR	WR	S-3	S-10	D
20. Other minor offenses which the Company finds misdemeanor, commission of which the necessary disciplinary action may be imposed.	OR	WR	S-3	S-10	D

CLASS B OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	
1. Habitual absences of two (2) times a month within a period of two (2) consecutive months.	WR	S-7	S-15	D	
2. Malingering or feigning illness to avoid doing assigned work	WR	S-7	S-15	D	
3. Giving false reasons for being absent, late or when applying for undertime	WR	S-7	S-15	D	
4. Tampering, forging or altering medical certificates and/or prescription to support sick leave	WR	S-7	S-15	D	
5. Failure to immediately make a report to follow Company reporting procedures in case of accidents involving Company personnel or property.	WR	S-7	S-15	D	
6. Doing unsatisfactory work based on Company standards.	WR	S-7	S-15	D	
7. Negligence or inefficiency at work.	WR	S-7	S-15	D	
8. Concealing defective work resulting prejudice to the Company.	WR	S-7	S-15	D	
9. Operating machines contrary to Standard Operating procedures (SOP) or careless, improper use of Company's tools and equipment	WR	S-7	S-15	D	

CLASS B OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
10. Disregarding prohibition to enter offices or Company premises during off-hours without permission or authorization	WR	S-7	S-15	D	
11. Failure to return to work promptly upon expiration of leave of absence without justifiable reason.	WR	S-7	S-15	D	
12. Intentionally or knowingly punching, swiping or filing out someone else's ID, time card or trip ticket.	WR	S-7	S-15	D	
13. Wasting time or loitering during Company time.	WR	S-7	S-15	D	
14. Leaving work assignment and/or Company premises during working hours w/o prior written permission from the immediate supervisor or head.	WR	S-7	S-15	D	
15. Sleeping on Company time while on duty	S-7	S-15	D		
16. Falsely testifying for or against a person who is the subject of Company investigation.	WR	S-7	S-15	D	
17. Concealing matters which is of interest to the Company during, or at any time in investigation where the Company and its employees may be involved.	WR	S-7	S-15	D	
18. Rendering services for another employer without the approval of the Company.	WR	S-7	S-15	D	
19. Failure to submit to, or failure to meet safety and security measures of the Company.	WR	S-7	S-15	D	
20. Discourteous or disorderly conduct during office hours within the Company premises or during Company sponsored activities.	WR	S-7	S-15	D	
21. Willful disregard of notices and signages such as smoking in a "No Smoking Area".	WR	S-7	S-15	D	
22. Wearing of jewelries inside production and production related areas (e.g. Warehouse). Jewelries shall include necklace, ring, earrings, bracelet and wristwatch.	WR	S-7	S-15	D	
23. Wearing excessive and indecent make-up while working along the production line.	WR	S-7	S-15	D	

CLASS B OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
24. Failure to do or perform an act which one is officially bound to do under his scope of work whether ministerial, discretionary or required to do within a reasonable time, or such time as prescribed for him to do.	WR	S-7	S-15	D	
25. Doing overtime work lesser than that ought to be charged.	WR	S-7	S-15	D	
26. Unauthorized overtime/undertime.	WR	S-7	S-15	D	
27. Staying in work areas or inside Company premises after office hours or during Company holiday without proper approval or overtime authorization.	WR	S-7	S-15	D	
28. Refusing to accept job assignments or neglecting to follow and obey a legal Company order to perform assigned work.	WR	S-7	S-15	D	
29. Refusal to go on shift assignment without valid reason.	WR	S-7	S-15	D	
30 Using telephone for domestic / international calls without prior permission from the supervisor / manager and for personal gain.	WR	S-7	S-15	D	
31. Using another employee's ID or pass or giving ID card or identification material to any person not entitled to it, or assisting non-employee to enter the Company premises w/o permission.	WR	S-7	S-15	D	
32. Falsifying time cards, time tickets and trip tickets.	WR	S-7	S-15	D	
33. Eating, drinking and/or bringing in food and drinks in restricted area.	WR	S-7	S-15	D	
34. Failure to report after receiving an overpayment of salary, allowances or other forms of erroneous remuneration or reimbursement.	WR	S-7	S-15	D	
35. Failure to attend / complete training, seminar or workshop resulting in loss of investment on the part of the Company.	WR	S-7	S-15	D	
36. Commission of unsafe act which may cause injury or damage to person(s) or property, loss of production time or equipment downtime.	WR	S-7	S-15	D	

CLASS B OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
37. Other major offenses which the Company finds misdemeanor, commission of which the necessary disciplinary action may be imposed.	WR	S-7	S-15	D	

CLASS C OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
1. Any attempt to inflict or cause bodily harm upon another person, or have in fact inflicted or caused said bodily injury in the office or its premises, or on the job site or vicinity during Company time.	D				
2. Any act constituting threats, intimidation or coercion against any employee or any manner unduly interfering with fellow employees within Company premises.	D				
3. Bringing into the Company premises or job site, habit forming drugs or upon confirmation of drug addiction, unless prescribed by physician for medical purposes.	D				
4. Any injury, damage, or defacement caused to Company property or to the property of another within the Company premises.	D				
5. Any act constituting theft or robbery of Company property, or that of others on Company time and within premises or job site.	D				
6. Using Company's time, material or equipment to do unauthorized work within or outside Company office, using the same Company materials and equipment for personal profit.	D				
7. Bringing out or attempting to bring out Company property without proper approval.	D				
8. Substituting Company materials or equipment with another or inferior quality or lesser value.	D				
9. Fraudulently recording time for absent employees in time reports and records.	D				
10. Malversation of Company funds.	D				
11. Obtaining supplies and materials or fraudulent orders or knowingly obtaining supplies at a higher cost when the same can be obtained at a lower cost, for the purpose of personal profit.	D				

CLASS C OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
12. Any misinterpretation made or any such act of falsifying any data when applying for employment when such information or data falsified or misrepresented are considered material to the acceptance.	D				
13. Offering or accepting anything of value in exchange for job, work assignment, work location or any favorable condition of employment	D				
14. Giving away restricted information voluntarily and willfully to outsiders, or those not authorized to possess such information.	D				
15. Causing the Company to lose time and money because of gross negligence or inefficiency in the performance of official duties.	D				
16. Abandonment of work which causes a disruption or delay in the Company's normal operation of which may result to damages to the Company. Abandonment includes prolonged and continuous AWAL for more than 15 days.	D				
17. Favoring suppliers or media in consideration of kickbacks or personal rebates.	D				
18. Any attempt to falsify a travel expense report, receipts or documents upon which reimbursement is based for collecting said expenses, making it appear that the amount is more than what is actually spent or disbursed.	D				
19. Committing any act, whether within or outside the Company time and premises, and whether personally or thru another, which jeopardizes or put into bad light the reputation or good will of the Company.	D				
20. Performing certain acts binding the Company, or entering into a transaction with any persons, banking institution, or any corporation involving the Company or its interest, without authority, or in such a manner as would constitute a grave abuse of authority or discretion, and contrary to Company policy.	D				
21. Any Act of insubordination.	D				
22. Using Company transportation or any facility for illegal or immoral purposes.	D				

CLASS C OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
23. Reckless driving of Company vehicle resulting in loss of life, injury or damage to person/s or property.	D				
24. Performing work for a competitor Company, which act resulted in prejudice to the Company.	D				
25. Entering Company premises or work assignment under the influence of liquor or wine.	D				
26. Drinking liquor, wine or any intoxicating drink while performing one's duties within the Company premises or job sites.	D				
27. Acting in a disorderly manner in the office, Company premises as a result of drinking liquor or any intoxicating drink	D				
28. Conduct of grossly indecent nature or using profane and indecent language in addressing another person within Company premises during Company time.	D				
29. Showing or exhibiting pornographic materials pictures or literature during Company time and within premises.	D				
30. Playing game cards or taking part in any gambling, lottery or other games of chance on Company premises.	D				
31. Having a serious, contagious diseases which may endanger other employees, knowing about it yet, failing to report, or willfully withheld the information about it to Company authorities.	D				
32. Any act which constitutes a threat or intimidation against the person of Company authority, with the intent of causing embarrassment, harm or bodily injury.	D				
33. Any act constituting disrespect to or utter disregard of Company authorities, customers and visitors.	D				
34. Sexually molesting, harassing or any act of lasciviousness committed against a co-employee or subordinate; committing immoral acts which violates common decency including engagement in sexual acts inside Company premises.	D				

CLASS C OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
35. Abuse of status, power of discretion by superiors; use of force, violence or manhandling which would injure, degrade or humiliate a subordinate.	D				
36. Rumor mongering, or spreading false information which tends to dishonor, discredit, embarrass, humiliate a subordinate.	D				
37. Vandalism inside Company premises or other similar acts, unauthorized writing, altering posting mutilating, or removing memos from bulletin board.	D				
38. Unauthorized use and tampering of fire fighting equipment.	D				
39. Sabotage, deliberate destruction, curtailment disruption or stoppage of work output; intimidating or coercing co-workers to commit these acts.	D				
40. Forgery or unauthorized use of Company officials' signature or initials.	D				
42. Conviction of any criminal or civil charge or involvement or participation in criminal or civil suit with strong evidence of guilt.	D				
43. Engaging in subversive acts including distribution of subversive materials within Company time.	D				
44. Soliciting or collecting monetary contribution within Company premises without permission from Management.	D				
45. Extortion or any form of oppressive action or demand for money.	D				
46. Promoting, engaging, or participating in any usurious practices at anytime within Company premises.	D				
47. On the part of the superior, deliberately condoning tolerating or participating in an offense committed by a subordinate.	D				
48. Attempting or taking the life of a Company official or employee willfully or through gross negligence anywhere at anytime.	D				

CLASS C OFFENSES	FREQUENCY				
	1st	2nd	3rd	4th	5th
49. Any act of dishonesty to gain personal interest or advantage.	D				
50. Other serious offenses which the Company finds misdemeanor, commission of which the necessary disciplinary action may be imposed.	D				

PROCEDURE IN IMPLEMENTING A DISCIPLINARY ACTION:

1. Whenever an employee is found to have committed an offense against the Company's established authority, policies, procedures and regulations, the supervisor or manager of that employee should prepare an incident report stating the details of the offense committed. Report shall be submitted to HR/GAD. HR/GAD shall issue a notice to explain, using APBS10006 Form 1, to the employee concerned directing him/her to explain in writing the charges against him/her. The form shall be signed by both the HR Manager and Supervisor/Manager of the employee concerned.

The memo is prepared in duplicate and furnished to the employee concerned, supervisor/manager of the employee and HR/GAD central file.

2. If the infraction is committed within the Company premises but outside the working area where the subject is assigned, any employee witness may immediately report the incident to the HR/GAD. HR/GAD will in turn inform the immediate superior of the employee concerned of the violation committed.

The same procedure is followed as in No. 1

3. Employee acknowledges receipt of the Notice to Explain and writes his/her reply to the directive using APBS10006 Form 2, Written Explanation. The written response is then submitted to his/her immediate superior within 5 working days upon receipt of Notice to Explain.
4. Upon receipt of the written reply, HR/GAD together with the supervisor/manager concerned schedules a hearing of the case. Hearing shall be required depending on the nature of the offense. Employee concerned is furnished a copy of the notice of hearing.

The employee being charged is allowed to engage the services of his/her own legal counsel and brings his/her witnesses and evidences during the hearing to shed light on the case.

5. HR/GAD takes the minutes of the meeting during the hearing. The minutes are then furnished to the employee concerned, supervisor/manager of the employee being charged and HR/GAD for inclusion in the 201 file of the employee.
6. HR/GAD Manager reviews the merits of the case based on the evidences presented and accounts of the witnesses as well as the oral and written explanation of the employee. He/She then discusses this with the supervisor/manager concerned, and in some cases when the offense committed is grievous, with the legal counsel of the Company.

If the offense committed does not merit suspension or termination, the HR/GAD Manager decides on the appropriate penalty that should be imposed on the erring employee.

For serious offense refer to no. 8

7. HR/GAD prepares the notice of disciplinary action in duplicate. The HR/GAD Manager and supervisor/manager concerned sign the written notice. If the case involves a minor offense, HR/GAD Manager gives oral or written reprimand to the erring employee.
8. If the violation merits suspension or termination of employment, the following must be complied:
 - The HR/GAD Manager will review the merits of the case and consult with the corporate legal counsel.
 - Once, the opinion of the legal counsel is received, the HR/GAD Manager will endorse the case to the President who will render the final approval.
9. Should a decision-conflict arise; the case must be coursed to and resolved by the President.
10. Once a decision is arrived at, the notice of the disciplinary action is automatically carried out and the following are furnished copies:

Original copy	-	Employee
Duplicate	-	GAD/201 file
11. An employee may be placed on preventive suspension, pending the results of the investigation if his/her continued employment poses a serious and imminent threat to the life or property of the Company and of his co-employees. Preventive suspension is for a maximum period of thirty (30) days.

DEFINITION of DISCIPLINARY SANCTIONS:

1. Written Explanation – is a letter given to the employee who is reported as committing an offense, requiring the employee to explain the charges against him/her. This is to give the employee an opportunity to air his/her side of the case. This is the first stage in the implementation of the due process but must not be misconstrued as part of the disciplinary action.
2. Reprimand – an oral or written warning reminding, advising and monitoring an employee that repetition of the same offense will be dealt with more severely.
3. Suspension – is a forced temporary absence from duty without pay as provided for by the applicable rule. Days of suspension refer to the consecutive working days wherein an employee is required to be out from work.
4. Dismissal – termination of employment for violation or repeated violation of company rules and regulations and/or any of the Just Causes as provided by the law. This means that the employee loses his employment status and all rights and privileges accorded him as an employee are withdrawn.

The termination of employment of the employee by the Company is usually imposed when the employee's record over the period of time shows clearly that the amount of warning and other disciplinary actions has not made the employee understand the error of his/her ways and/or for the first offense which is such a serious error that cannot be ignored.

RESERVATION CLAUSE

There may be other rules and regulations that may be subsequently issued, in the form of general or regular memoranda aside from those contained in this handbook.

We would like to emphasize, however, that it is management's prerogative to protect the interest of the Company and declare certain actions or activities of employees as misdemeanor. Thus, should infractions be committed, disciplinary actions are imposed after due process is observed.

Moreover, management has all the right to exercise its prerogatives and take actions and render decisions as it may deem necessary under prevailing circumstances.

Human Resources/General Administration Department

FURUKAWA ELECTRIC AUTOPARTS PHILIPPINES INC.
EMPLOYEE CONFIDENTIALITY & NON-DISCLOSURE AGREEMENT

In consideration of the commencement of Employee's employment with Company and the compensation that will be paid, Employee and Company agree as follows:

1. Company's Confidential Information.

In the performance of Employee's job duties with Company, Employee will be exposed to Company's Confidential Information. "Confidential Information" means information or material that is commercially valuable to Company and not generally known or readily ascertainable in the industry. This includes, but is not limited to:

- (a) technical information concerning Company's products and services, including product know-how, formulas, designs, devices, diagrams, software code, test results, processes, inventions, research projects and product development, engineering drawing, technical memoranda and correspondence;
- (b) information concerning Company's business, including cost information, profits, sales information, accounting and unpublished financial information, business plans, markets and marketing methods, customer lists and customer information, purchasing techniques, supplier lists and supplier information and advertising strategies;
- (c) information concerning Company's employees, including salaries, strengths, weaknesses and skills;
- (d) information submitted by Company's customers, suppliers, employees, consultants or co-venture partners with Company for study, evaluation or use; and
- (e) any other information not generally known to the public which, if misused or disclosed, could reasonably be expected to adversely affect Company's business.

2. Nondisclosure of Confidential Information

Employee shall keep Company's Confidential Information, whether or not prepared or developed by Employee, in the strictest confidence. Employee will not disclose such information to anyone outside or inside the Company without Company's prior written consent. Likewise, the Employee will not make use of any Confidential Information for Employee's own purposes or the benefit of anyone other than Company.

3. Return of Materials

When Employee's employment with Company ends, for whatever reason, Employee will promptly deliver to Company all originals and copies of all documents, records, software programs, media and other materials containing any Confidential Information. Employee will also return to Company all equipment, files, software programs and other personal property belonging to Company.

4. Confidentiality Obligation Survives Employment

Employee's obligation to maintain the confidentiality and security of Confidential Information remains even after Employee's employment with Company ends and continues for so long as such Confidential Information remains a trade secret.

5. Refusal to Sign

By signing the acknowledgement on the last page of this handbook means that the employee read, understood and agreed all the contents therewith including this agreement. However, employee who will refuse to sign in this Agreement shall mean willful refusal to submit himself/herself to this condition and therefore shall be referred to by the company as violation of Class C, paragraph 14 of the Company's Code of Conduct.

6. Successors & Assignees.

This Agreement shall bind each party's heirs, successors and assignees.

To: Furukawa Electric Autoparts Phil., Inc.

ACKNOWLEDGEMENT

I, _____, hereby
acknowledge
that I received, read and understood the FEAP's
Employee Handbook

Signature/Department

Date Received

After having read and understood this Employee Handbook. I am expected and duty bound to abide by the Company policies. Guidelines, rules and regulations contained herein, and make the contents of this handbook an integral part of my employment.

The employee is strongly advised to clarify with the Human Resources and General Administration Department of FEAP any matter or part of this handbook that is not clearly understood.

*This Agreement shall be effective as of the first day of
my employment with the Company.*

I understand that this agreement affects my rights to invention I make during
my employment, and restricts my rights to disclosure or use of the
Company’s confidential information

I have read this agreement carefully and understand its terms. I am signifying
my conformance with the stated agreement.

EMPLOYEE

Signature

Name

Dated

SIGNED IN BEHALF OF:
Furukawa Electric Autoparts Phils. Inc (FEAP)

By:

Name:
Title:

To: Furukawa Electric Autoparts Phil., Inc.

ACKNOWLEDGEMENT

I, _____, hereby
acknowledge
that I received, read and understood the FEAP's
Employee Handbook

Signature/Department

Date Received

After having read and understood this Employee Handbook. I am expected and duty bound to abide by the Company policies. Guidelines, rules and regulations contained herein, and make the contents of this handbook an integral part of my employment.

The employee is strongly advised to clarify with the Human Resources and General Administration Department of FEAP any matter or part of this handbook that is not clearly understood.

(Note: This page is to be detached and submitted to HR/GAD for your 201 file.)

*This Agreement shall be effective as of the first day of
my employment with the Company.*

I understand that this agreement affects my rights to invention I make during
my employment, and restricts my rights to disclosure or use of the
Company’s confidential information

I have read this agreement carefully and understand its terms. I am signifying
my conformance with the stated agreement.

EMPLOYEE

Signature

Name

Dated

SIGNED IN BEHALF OF:
Furukawa Electric Autoparts Phils. Inc (FEAP)

By:

Name:
Title:

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Furukawa Electric Autoparts Philippines Inc.

113 East Main Ave., Lot 3-5 Phase 4

Laguna Technopark, Biñan, Laguna, Philippines

Trunklines: (049) 541-1801 to 06 Fax: (049) 541-1805

Email: info@furukawa.com.ph